

**IN THE COURT OF COMMON PLEAS
KNOX COUNTY, OHIO**

State of Ohio, ex rel. Dave Yost,
Attorney General,

Plaintiff,

Case No. 20IN006-149

v.

JUDGE JAMES KIMBLER

The Landings Property Association, Inc., *et al.*,

Defendants.

Mullins Bros., Ltd.,

Defendant-Third-Party
Plaintiff,

v.

Carol A. Didinger, Trustee, *et al.*,

Third-Party Defendants.

**REPLY MEMORANDUM OF THE LONG DEFENDANTS IN SUPPORT OF THEIR
MOTION FOR PARTIAL SUMMARY JUDGMENT ON THE COURT SETTING
ASIDE THE DEED FROM MULLINS BROS., LTD. TO THE LANDINGS PROPERTY
OWNERS ASSOCIATION, INC.**

Defendants Angela J. Arumpanayil, Trustee; Al A. Balaa; Cary S. Beck; Erika D. Beck;
Andrea Belcher; Kenneth Belcher; Robert Boyd; Janet Boyd; Eric Lee Brown; Revecca M.
Buckwalter; Aaron Burak; Allison Burak; Edwin L. Cable; Sandra M. Cable; Joseph R.
Christopher; Cheryl K. Christopher; Kelly L. Clark; Christopher A. Clark; Charles and Dorothy
Cochran Keystone Trust, Mark Cochran, Trustee; Marcell Codispoti; Peggy Codispoti; Paula C.
Compton-Solie; Edward L. Cosby; Janice Cosby, Trustees; Derk D. Demaree; Anita M. Demaree;
Joseph M. Depolo; Robin L. Depolo; Mark Driftmyer, Trustee; Linda L. Fritz; Marilou M. Fritz;

Donald L. Garvic; Andreas Giakoumas; Ypatia Giakoumas; James Goodrich; Diane Goodrich; Deborah Hamilton; Adrienne D. Harris; Jeffry D. Harris; Bharon Hoag; Heather Hoag; Shane Alan Kinton, Trustee; Laurie Ann Kirkpatrick, Trustee; Cynthia Kosmos; James Kosmos; Robert S. Lebold; Jennifer Lebold; Richard Littleton; Vicki Littleton; Mark A. Long; Denise A. Long; Jesse L. Marlow; Jane C. Marlow; Hewlet McFarlane; Angela N. Merryman; Scott T. Miglin; Susan D. Miglin; Mount Vernon Nazarene University; Stephen D. Mullendore; Jeanne C. Mullendore, Trustees; Chetan I. Patel; Chetna C. Patel; Diana L. Peterson; Philip B. Petrie; Priscilla J. Petrie; Randolph B. Plasse; Tina M. Plasse; Bradley Porter; Tonya Porter; Brian Przeracki; Kenneth Rhoades; Mary Rhoades; Ralph Shafer; Benjamin Snow; Mary Margaret Snow; Matthew Snow; Megan Snow; Phil Stopher; Ellen Stopher; Jeffrey Strickland; Rachel Strickland; Mark Tuel; Michael Ulrey; Rosemary Ulrey; Lawrence Vail; Nancy Vail; Alexander Varughese; Marcia J. Varughese; Brad Whitaker; Leslie Whitaker; Andrea White; Brian Williams; Dianne L. Williams; James Williams; and Timothy J. Williams (collectively, the “Long Defendants”), by and through counsel, submit this Reply Memorandum (“Reply Memo”) in support of their motion for summary judgment as to Mullins Bros., Ltd. and their motion for summary judgment as to the State of Ohio (together, the “Motions”), as well as their opposition to the motion for summary judgment filed by Mullins.

This Reply Memo is submitted in accordance with the Journal Entry filed April 19, 2024 (“Journal Entry”), in which the court gave the parties an opportunity to respond to the argument by the Long Defendants that the court should set aside the deed from Mullins Bros., Ltd. (“Mullins”) to The Landings Property Owners Association, Inc., and provided that the Long Defendants could then file a reply to any memoranda so filed. This Reply Memo is a consolidated reply to the memoranda filed by Mullins and by the State of Ohio (the “State”).

I. INTRODUCTION

Steve Mullins, who served as the incorporator of The Landings Property Owners Association, Inc., failed to follow Ohio law when he created that corporation. He then ignored Ohio law for the next several years, disregarding numerous statutory obligations regarding that corporation.

He failed to observe corporate formalities, and treated the corporation as his alter ego.

When he transferred certain real property to that corporation years after forming it, he again violated Ohio law.

In addition, Mullins breached the covenants in the Declarations it prepared and filed with the Knox County Recorder by failing to require the owners of all lots in Phases VII and VIII of the Landings to become members of a non-profit corporation known as the Landings Common Area Association, Inc.

Because of these failures and breaches by Mullins, this Court should negate the transfer of real estate by Mullins to its defectively formed corporation, The Landings Property Owners Association, Inc.; declare that Mullins is the owner of the Dam; and declare that Mullins is responsible for the maintenance and repair of the Dam.

II. STATEMENT OF FACTS

The facts critical to determination of the issue before the court are established by evidence and undisputed. Neither Mullins nor the State contested any of the facts stated by the Long Defendants in their Supplemental Memorandum filed March 26, 2024, or in the Motions. As this court noted in the Journal Entry, “there are many references to evidential material of the kind listed in Civ. R. 56 regarding the actions that either were or were not taken by Mullins Brothers and Steve Mullins in setting up The Landings Property Owners Association, Inc.” (Order, page 2).

For ease of reference and organization, those facts are set forth below, without the original citations to the supporting documents, such as admissions, deposition testimony, and affidavits.

A. Facts Related to Mullins' Corporate Formation Failures

Steve Mullins signed the Articles of Incorporation for The Landings Property Owners Association, Inc. in three places. His first signature, on page 2 of 3, as “authorized representative” of The Landings Property Owners Association, Inc., appears on a page providing spaces for three names of directors of the corporation. It states, “The following are the names and addresses of the individuals who are to serve as initial Directors.” Steve Mullins did not identify anyone as an initial director of The Landings Property Owners Association, Inc.

When Steve Mullins incorporated The Landings Property Owners Association, Inc., he did not provide for any directors, members, employees, or representatives.

The Articles of Incorporation for The Landings Property Owners Association, Inc., prepared by Steve Mullins and his attorney, are silent as to a date for an annual meeting for the corporation to elect directors. No annual meeting was ever held. Nor was there ever a special meeting of voting members called for the purpose of electing directors.

Steve Mullins never, as incorporator of The Landings Property Owners Association, Inc., as required by Revised Code Section 1702.16, held an annual meeting of voting members for the election of directors and the consideration of reports.

The responsibility under Ohio law for preparation of corporate regulations falls on the incorporator of a nonprofit corporation, here, Steve Mullins. “The incorporators or a majority of them, at a meeting, may adopt regulations for the government of the corporation, the conduct of its affairs, and the management of its property.” R.C. 1702.10. Steve Mullins never, as incorporator of The Landings Property Owners Association, Inc., prepared any corporate regulations for The Landings Property Owners Association, Inc.

Steve Mullins did nothing to set up any election of directors for The Landings Property Owners Association, Inc. Steve Mullins, today, is unable to identify a single person who he believes was a trustee (director) of The Landings Property Owners Association, Inc.

The Long Defendants have filed 91 affidavits attesting that none of them have ever been directors of The Landings Property Owners Association, Inc.

The Articles of Incorporation for The Landings Property Owners Association, Inc., prepared by Steve Mullins and his attorney, are silent as to what constitutes a “member” in the corporation. “Member” in an Ohio nonprofit corporation is defined as “one having membership rights and privileges in a corporation in accordance with its articles or regulations.” R.C. 1702.01(G). No regulations were ever prepared for the corporation. Steve Mullins, as the incorporator, failed to include any information in the articles or regulations about membership rights and privileges in The Landings Property Owners Association, Inc. Therefore, the guiding corporate documents provide no information about how someone becomes a member of the corporation, or what the membership rights and privileges are in the corporation.

Given that R.C. 1702.01(G) states that a “member” in a nonprofit corporation is one having membership rights and privileges in a corporation “in accordance with its articles or regulations”, and there are no regulations for The Landings Property Owners Association, Inc., and that corporation’s articles are completely silent about membership rights and privileges, The Landings Property Owners Association, Inc. does not now have, and never has had, any members. The responsibility for that omission is solely that of Steve Mullins.

Mullins never took any action to require any of the owners of lots in Phase VII or Phase VIII of the Landings (which includes all of the Long Defendants) to become a member of The Landings Property Owners Association, Inc.

Consistent with sworn testimony that Mullins never did anything to require any of the Long Defendants to become members of The Landings Property Owners Association, Inc., the Long Defendants have filed 91 affidavits attesting that they have never been members of that corporation, and were never even provided copies of the Articles of Incorporation.

Further consistent with sworn testimony that none of the Long Defendants (or any other party to this litigation) has ever been a member of The Landings Property Owners Association, Inc., Steve Mullins never, as incorporator of The Landings Property Owners Association, Inc., as required by Revised Code Section 1702.13, maintained a record of its members containing the name and address of each member, the date of admission to membership, and the class to which the member belongs.

And, Steve Mullins never, as incorporator of The Landings Property Owners Association, Inc., as required by Revised Code Section 1702.15, maintained correct and complete books and records of account, together with minutes of the proceedings of its incorporators, members, directors, and committees of the directors or members.

There are no agenda or meeting minutes, or attendance rolls, for any annual meeting, or special meeting of alleged members of The Landings Property Owners Association, Inc.

Instead of doing the things associated with and necessary for a valid nonprofit corporation under Ohio law, Steve Mullins treated his entity like his own. He did not involve any of the residents of The Landings. He ran everything.

Steve Mullins set up a banking account for The Landings Property Owners Association, Inc. He went to the bank where he had a preexisting business relationship. He sent invoices to some property owners in Phase VII and Phase VIII of the Landings, from “The Landing Prop Own Assc”, deposited checks in the corporate banking account he set up and controlled, and wrote checks for the maintenance of the lake owned by Mullins. He did all of this himself, as the alter

ego of his corporation. He never sought authorization from any of the Long Defendants for any of this, or even informed them of what he was doing. He did this all on his own, treating the corporation and its bank account as his personal piggy bank.

Mullins failed to record any declaration or bylaws in Knox County, Ohio for The Landings Property Owners Association, Inc. Revised Code Section 5312.02(D) required that bylaws be recorded with the Knox County Recorder on or before March 9, 2011.

Mullins never filed with the Ohio Secretary of State on the prescribed form a resignation of Steve Mullins as statutory agent for The Landings Property Owners Association, Inc., and did not send a copy of the notice to The Landings Property Owners Association, Inc. This is required by Revised Code Section 1702.06(F). Therefore, Steve Mullins is still the statutory agent for The Landings Property Owners Association, Inc.

Mullins never filed a corporate tax return for The Landings Property Owners Association, Inc. Mullins never filed an annual report with the Ohio Department of Taxation for The Landings Property Owners Association, Inc.

When he decided in the summer of 2007 to get rid of the lake, by a Quitclaim Deed, Steve Mullins ignored the requirement in Revised Code Section 1521.062(K) that he notify the chief of the Ohio Department of Natural Resources of a change in ownership of the Dam prior to the transfer of title. This prevented the State of Ohio from objecting to the transfer of title without assurance that adequate provisions had been made for maintenance and repair of the Dam.

On or about July 31, 2007, Mullins transferred its ownership of the Dam to The Landings Property Owners Association, Inc. by Quitclaim Deed, for \$0, recorded in the Knox County Recorder's Office on or about August 1, 2007. This conveyance violated Revised Code Section 1521.062(K). The Knox County Auditor's website lists The Landings Property Owners Assn., Inc. as the owner of the Dam.

When Steve Mullins signed a Quitclaim Deed on July 31, 2007, to his defectively formed corporation, The Landings Property Owners Association, Inc., two years and four months after he served as incorporator and filed Articles of Incorporation with the Ohio Secretary of State for that entity, he had failed to take any of the actions required of an incorporator of an Ohio nonprofit corporation (other than naming himself the statutory agent). He had not established any members, or criteria for members, or appointed or elected any directors or trustees, or prepared a code of regulations or bylaws, or maintained a record of the corporation's members, or maintained correct and complete books and records of account, together with minutes of the proceedings of its incorporators, members, directors, and committees of the directors or members, or established an office for the corporation.

B. Facts Related to Mullins' Breach of Restrictive Covenants

On March 14, 2005, Mullins purchased the property on which the Dam and the lake it forms are located from the Knox Cattle Company. On March 22, 2005, Mullins recorded the Declaration of Building and Development Restrictions for the Landing Development Phase VII, Revised ("Phase VII Declaration"). Section 4(B) of the Phase VII Declaration imposed an obligation on Mullins to require all lot owners in Phase VII to become members of a non-profit corporation named the "Landings Common Area Association, Inc." as set forth below:

Developer [Mullins] shall require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc. This corporation shall have the sole and exclusive control of the lake located on the land of the Developer and shall be responsible for its care and maintenance.

(Emphasis added).

On February 9, 2007, Mullins recorded a Declaration of Building and Development Restrictions for the Landing Development Phase VIII with a nearly identical Section 4(B), which again imposed an obligation on Mullins to require the Phase VIII lot owners to also become

members of the “Landings Common Area Association, Inc.” (“the Phase VIII Declaration”). Both Declarations were prepared by the lawyer hired by Mullins, and Steve Mullins reviewed and participated in the preparation of both Declarations.

Mullins breached the restrictive covenants it prepared and filed with the County Recorder. Mullins never established a non-profit corporation known as the “Landings Common Area Association, Inc.” Nor did Mullins require the lot owners in Phases VII and VIII to join the “Landings Common Area Association, Inc.” And, Mullins failed to take any action to require any of the Long Defendants, or any other owners of lots in Phases VII and VIII of The Landings, to become members of The Landings Property Owners Association, Inc.

III. LAW AND ARGUMENT

A. Mullins and the State Materially Misrepresented the Facts

Mullins ignored this Court’s statement that, “This issue is important...” (Journal Entry, page 3), and failed to provide any legal analysis of the issue of whether a deed issued by a grantor of real property for zero consideration to a corporation defectively formed by the grantor may be set aside. Mullins did not cite a single case, or even make any argument, that Ohio law prevents this Court from setting aside the deed Mullins issued to its defectively formed corporation.

Instead, Mullins repeatedly misrepresented the facts and the law. On page 2 of its Memorandum in Opposition, Mullins stated:

There is no dispute that articles of incorporation were filed for The Landings Property Owners Association, Inc. on April 5, 2005, and **that property owners became members as a matter of law upon purchasing property in the development.**

(Emphasis added.)

This is an absolutely untrue statement, unsupported by the facts or the law. Mullins never made any such claim earlier in this case, and did not cite any document or legal authority for this recent proposition.

Of course, the simplest rebuttal to Mullins' claim is found in Section 4(B) of the Declarations it prepared and filed with the County Recorder, as set forth below:

Developer shall require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc. This corporation shall have the sole and exclusive control of the lake located on the land of the Developer and shall be responsible for its care and maintenance.

(Emphasis added).

If “property owners became members as a matter of law upon purchasing property in the development”, then there would be no need for Mullins to “require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc.” They would only become members upon an affirmative act by Mullins, which Mullins never took. And, it would have been physically and legally impossible for property owners to have become members of a non-profit corporation known as the Landings Common Area Association, Inc. “as a matter of law” when there is no such entity. Similarly, property owners could not have become members of The Landings Property Owners Association, Inc. “as a matter of law” upon purchasing their lots, where there is not a single document of record in this case that required property owners to become members of that corporation.

The attorney for Mullins admitted that Mullins never took any action to require any of the owners of lots in Phase VII or Phase VIII of the Landings (which includes all of the Long Defendants) to become a member of either The Landings Common Area Association, Inc. or The Landings Property Owners Association, Inc.

Q. To your knowledge, did Mullins Bros. Ltd. ever do anything

to require the owners of all lots in Phases VII and VIII of The Landings to become members of a nonprofit corporation known as The Landings Property Owners Association, Inc.

A. Not that I'm aware of.

Q. And you personally did not take any steps as the attorney for Mullins Bros. Ltd. to assist Mullins Bros. Ltd. in requiring owners of lots to become members of a nonprofit corporation known as The Landings Common Area Association, Inc., right?

A. That's correct.

Q. And that would also be true for a nonprofit corporation known as The Landings Property Owners Association, Inc.?

A. That's correct.

(Rauzi Depo. pp. 48-49.)

Consistent with this sworn testimony that Mullins never did anything to require any of the Long Defendants to become members of The Landings Property Owners Association, Inc., the Long Defendants filed 91 affidavits attesting that they have never been members of that corporation, and were never even provided copies of the articles of incorporation. Long Defendant Kenneth Belcher stated in his affidavit:

32. Before the filing of this lawsuit by the State of Ohio, I had no personal knowledge of the Articles of Incorporation for The Landings Property Owners Association, Inc., because purported Articles of Incorporation were never provided to me by Mullins or The Landings Property Owners Association, Inc.

...

37. Mullins never took any action to require me to become a member of a non-profit corporation known as The Landings Property Owners Association, Inc.

...

39. I have never been a member of any entity known as The Landings Property Owners Association, Inc.

...

Mullins made another untrue, unsupported statement, on page 3 of its Memorandum in Opposition:

At the time [August 1, 2007], the lake and dam were merely a retention pond and were not yet classified as a Class I Dam requiring notification to ODNR under R.C. 1521.062(K).

Mullins is wrong. The requirement of an owner to notify the ODNR of the intended transfer of a dam is not limited to Class I dams. That requirement goes to all dams in Ohio. The statute states:

The owner of a dam or levee shall notify the chief in writing of a change in ownership of the dam or levee prior to the exchange of the property.

Whether a dam is Class I, or not, the owner of that dam **shall notify** ODNR in writing of the change in ownership of the dam prior to the exchange of the property.

Steve Mullins was well aware, when he signed the quitclaim deed to his defectively formed corporation on July 31, 2007, that Mullins owned a dam.

Q. The dam inventory sheet indicates that this was constructed by Don Yaeger in 1945, correct?

A. Yes. And that's always been my general knowledge of it too.

Q. All right. And it's an earthen dam, right?

A. Yeah.

(Mullins Depo. pp. 73-74)

Q. When you were standing on the dam [in 2005, before Mullins purchased the land where the lake and dam are located] with the mayor and the service director --

A. Dave Glass, yes.

Q. -- you knew you were standing on a dam, right?

A. Oh, yes.

(Mullins Depo. p. 114)

Mullins was required by law to notify the Ohio Department of Natural Resources before it transferred the Dam to its defectively formed corporation, but failed to do so.

Mullins made another untrue, unsupported statement, on page 3 of its Memorandum in Opposition:

Additionally, Cloyd Yough, **acting as trustee for The Landings Property Association, Inc.** filed an Amended Application for Real

Property Tax Exemption for the parcel of land containing the Lake and Dam on October 26, 2011.

The State made a similar misrepresentation, on page 8 of its Second Supplemental Memorandum:

On October 26, 2011, Cloyd Yough filed an application for tax exemption on behalf of **the Association**.

Both Mullins and the State cited as support pages 60 and 61 of the deposition of Cloyd Yough, and Exhibit 31.

But, Mr. Yough never filed any application on behalf of the corporation at issue here, The Landings Property Owners Association, Inc. The application he filed was for a wholly different entity, Landing Property Owners Association.

Here is Mr. Yough's actual deposition testimony, on pages 60 and 61:

Q. I've handed you Plaintiff's Exhibit 31. I'll represent to you that there are two documents that are part of this exhibit. First is an application for real property tax exemption and remission that was filed on October 26th, 2011, according to the stamp, and then there is also a letter from the Ohio Department of Taxation, a final determination, that has a date of March 27th, 2012. So let me ask you about the first document. Do you remember filing this application for real estate property tax exemption and remission?

A. Yes.

...

Q. And at that time -- and -- and then it identifies the applicant here as **Landing Property Owners Association**; is that correct?

A. Yes.

Q. Okay. And then it says, on the notices concerning this application should be sent -- and it identifies you by name, and then it says: **Trustee, Landing Property Owners Association**; is that correct?

A. Yes.

Q. Okay. And it has an address of 50 Wildwood Lane?

A. Correct.

Q. And that's your address, right?

A. Yes.

Both Mullins and the State know that Mr. Yough was not a trustee of The Landings Property Owners Association, Inc. Mr. Yough's deposition testimony on this point was very clear:

Q. State's Exhibit No. 11 -- State's Exhibit No. 11 is the articles of incorporation for The Landings Property Owners Association, Inc.; is that correct?

A. That's what I have here, I think, yeah.

Q. Okay. Do you know what this entity is?

A. I'm sorry?

Q. Do you know what this entity is?

A. No.

Q. No. Were you ever a trustee of The Landings Property Owners Association, Inc.?

A. No.

Q. Were you ever an officer?

A. No.

Q. Did you ever have any involvement whatsoever with The Landings Property Owners Association, Inc.?

A. No.

Q. Were you ever -- prior to this deposition, were you ever aware of this entity?

A. I think I've seen it in some written documents, but not really.

(Yough Deposition, pp. 13-14)

Q. Okay. Did you have any involvement in The Landings Property Owners Association, Inc.?

A. No.

(Yough Deposition, p. 74)

Both Mullins and the State know that Mr. Yough did not sign the application as a trustee of The Landings Property Owners Association, Inc. Instead, he signed it as a trustee of a different entity, Landing Property Owners Association. Mr. Yough's deposition testimony on this point was:

Q. And on the first page, about midway through the page, it says: Notices concerning this application should be sent to, and I believe it has your information and lists you as trustee, Landing Property Owners Association; is that correct?

A. Correct.

Q. And we've been talking about an unnamed homeowners association that you don't recall the

name of it. Is it possible that this was that homeowners association?

A. Yes. Yes.

Q. And you filed this document?

A. Yes.

(Yough Deposition, p. 81)

Q. You don't believe you were serving as a trustee of The Landings Property Owners Association, Inc.?

A. No.

Q. So let's turn back to 31 where I believe you just testified that you had filed this application for real property tax as a trustee of The Landings Property Owners Association.

A. Correct.

Q. So I guess explain where I'm losing it -- where you're losing me.

In 2011, you filed this application for exception.

A. They're different names.

Q. Are they different names?

A. Yes, they are.

(Yough Deposition, pp. 97-98)

Mullins claimed in its Memorandum in Opposition that the evidence was that The Landings Property Owners Association, Inc. was a functioning entity. That is not true. The fully functioning entity was an entirely different company, The Landings Property Owners Association, for whom Mr. Yough was a trustee and on whose behalf he filed the application.

Q. And knowing that you filed the tax exemption form as a trustee of The Landings Property Owners Association in 2011, does it appear to you that The Landings Property Owners Association was functional in 2011?

A. Yes.

Q. And you have no reason to dispute that it was a functional homeowners association?

A. No.

(Yough Deposition, p. 99)

What both Mullins and the State are trying to do is to conflate evidence about one entity with another entity, to try to establish that the homeowners in The Landings development

continued the operation of The Landings Property Owners Association, Inc. after Mullins transferred the deed to that defectively formed corporation.

In addition to the above instances, they falsely claimed that the corporation transferred funds to itself. Mullins asserted, on page 3 of its Supplemental Memorandum:

Following a meeting in 2008, all of the association's funds were transferred via check to "The Landings Property Owners Association, Inc."

The State asserted, on page 7 of its Second Supplemental Memorandum:

Then, on February 26, 2008, he [Steve Mullins] transferred the funds in the Association's bank account to a new bank account, also in the Association's name.

The truth is that Steve Mullins wrote a check (Exhibit A-7 to the Mullins Motion for Summary Judgment), not to The Landings Property Owners Association, Inc., but to The Landings Property Owners Association, the separate entity. The corporation did not write a check to itself. That would have made no sense. Instead, it wrote a check to a different entity, The Landings Property Owners Association.

Q. All right. So Mr. Mullins, the check that you wrote on February 26, 2008, for \$5,265.32 was on the account of The Landings Property Owners' Association, Inc., and it was written to The Landings Property Owners' Association, correct?

A. That's what's on the check, yes.
(Mullins Dep. P. 304)

Why, knowing these facts, did Mullins tell this Court that "all of the association's funds were transferred via check to 'The Landings Property Owners Association, Inc.'", when the check was made out to The Landings Property Owners Association? Why did Mullins tell this Court that Cloyd Yough filed an application for a tax exemption "acting as trustee for The Landings Property Association, Inc.", when there is no such corporation, and when the application clearly states that

he was a trustee for Landing Property Owners Association? Why did the State begin its Second Supplemental Memorandum defining “Association” as “Defendant Landings Property Owners Association, Inc.”, when there is no such defendant? The reason is that words matter, and the omission of a “The”, and the omission of an “Owners” and the addition of an “Inc.” make a difference. The truth, as reflected in the Long Defendants’ responses to the State’s requests for admissions, and interrogatory answers, and affidavits, and deposition testimony, hurts Mullins and the State, so they instead try to gloss over the truth, and confuse this Court into thinking that there is a factual dispute over whether the homeowners in The Landings operated the defectively formed corporation Mullins set up. There is not. They did not.

B. The Deed Should Be Set Aside Under A Veil Piercing Analysis

As to the issue upon which this Court sought direction from Mullins, whether a deed issued by a grantor of real property for zero consideration to a corporation defectively formed by the grantor may be set aside, which Mullins failed to provide, Ohio law does permit this Court to take this equitable action.

Given that Mullins failed to comply with Ohio law regarding the establishment of a nonprofit corporation, the deed from Mullins to The Landings Property Owners Association, Inc. should be set aside and Mullins found to be the owner of the real property where the Dam is located.

A deed or contract for sale of real property can be set aside due to fraud or fraud-like acts. *See Miller v. Bieghler*, 123 Ohio St. 227, 233, 174 N.E. 774 (1931).

Under the facts of this case, Mullins and The Landings Property Owners Association, Inc. are one and the same, such that the corporate form should be disregarded, and the transfer voided.

When determining whether an individual and corporation are indistinguishable, courts consider (1) whether corporate formalities were observed, (2) whether corporate records were

kept, (3) whether corporate funds were commingled with personal funds, and (4) whether corporate property was used for a personal purpose. *U.S. Bank Natl. Assn. v. MMCO, L.L.C.*, 2021-Ohio-4605, 183 N.E.3d 499, ¶ 60 (8th Dist.), citing *Byars v. Herman*, 8th Dist. Cuyahoga No. 83496, 2004-Ohio-3613, ¶ 24.

Here, the first two factors are present: Steve Mullins, as representative of Mullins, did not observe corporate formalities nor did he keep corporate records. As set forth above, Mullins never maintained a record of members of the corporation. He never maintained correct and complete books and records together with meeting minutes required by Revised Code Section 1702.15. Mullins failed to record a declaration or bylaws in Knox County, Ohio as required by Revised Code Section 5312.02(D). He did not provide for any directors, members, employees, or representatives. He did not prepare a code of regulations or bylaws. He never filed a corporate tax return and never filed an annual report with the Ohio Department of Taxation for The Landings Property Owners Association, Inc.

Thus, Mullins **is** The Landings Property Owners Association, Inc. While there is no evidence Mullins commingled funds, he set up an account for the corporation at the same location he maintained his personal banking, listed the address as his business address for his company Comfort Cooling, and treated the account as his own, on behalf of Mullins Bros., failing to involve Landings homeowners in his decisions or actions.

The Supreme Court of Ohio has established a three-prong test to determine whether to pierce the corporate veil:

(1) control over the corporation by those to be held liable was so complete that the corporation has no separate mind, will, or existence of its own, (2) control over the corporation by those to be held liable was exercised in such a manner as to commit fraud or an illegal act [or a similarly unlawful act] against the person seeking to disregard the corporate entity, and (3) injury or unjust loss resulted to the plaintiff from such control and wrong.

U.S. Bank Natl. at ¶ 59 (brackets sic), quoting *Belvedere Condominium Unit Owners' Assn. v. R.E. Roark Cos., Inc.*, 67 Ohio St.3d 274, 617 N.E.2d 1075 (1993) paragraph three of the syllabus, as modified by *Dombroski v. WellPoint, Inc.*, 119 Ohio St.3d 506, 2008-Ohio-4827, 895 N.E.2d 538.

The first element is satisfied here by establishment of the alter ego doctrine as set forth above, and because Mullins and the corporation were essentially the same person.

Next, Mullins used the corporation to commit acts akin to fraud or similarly unlawful act. Mullins violated the Ohio Revised Code multiple times, as detailed above.

Finally, the Long Defendants face injury here based on Mullins' attempts to foist the responsibility for maintaining the dam upon them. Such injustice should be avoided because the Long Defendants never had any reason to know that this responsibility was theirs. *See Taylor Steel, Inc. v. Keeton*, 417 F.3d 598, 606 (6th Cir.2005) ("We note once again that piercing the corporate veil is an equitable remedy, available not where a set list of factors are established but where maintaining the corporate form would work injustice upon an innocent party.") (applying Ohio law). *See also Belvedere* at 287 (permitting piercing corporate veil where "it would be unjust to allow the shareholders to hide behind the fiction of the corporate entity.")

Because Mullins and The Landings Property Owners Association, Inc. should be treated as the same, the transfer of the dam and lake from Mullins to The Landings Property Owners Association, Inc. is essentially a nullity and should be set aside. Thus, the Court should find that Mullins is the current owner of said property.

C. No Good Faith Attempt was Made to Establish The Landings Property Owners Association, Inc. such that It is Not Entitled to De Facto Status

In its Second Supplemental Memorandum, the State failed to directly address the issue of whether a deed issued by a grantor of real property for zero consideration to a corporation

defectively formed by the grantor may be set aside. Rather, the State noted the factors that are considered as to whether a defectively formed corporation should be granted “de facto” status.

The Landings Property Owners Association, Inc. is not entitled to de facto corporation status. “In order for a business entity to achieve the status of a de facto corporation, there must be a **good faith attempt to comply with the statutory provisions governing incorporation.**” *Jade Sterling Steel Co. v. Stacey*, 8th Dist. Cuyahoga No. 88283, 2007-Ohio-532, ¶ 15, citing *Greenwald v. Rose*, 6th Dist. Lucas No. L-80-037, 1980 WL 351662 (Dec. 19, 1980) (emphasis added). “Where there is an absence of a good faith effort to incorporate or necessary steps are not taken to complete incorporation, individual liability may exist.” *Id.* See also *Greenwald* at *2 (“Where there has been a complete failure to take any steps to organize a corporation after the articles of incorporation are filed, the organization must be denied de facto status.”).

In *Jade Sterling Steel*, the court denied de facto status to a corporation where that corporation failed to confirm the entity’s articles of incorporation were accepted or that a certificate of incorporation was ever issued. *Jade Sterling Steel* at ¶ 16. The court so found, despite the fact that the entity obtained an EIN, filed corporate tax returns, and was recognized as a corporation by other state agencies. *Id.* Mullins did not do any of those things for The Landings Property Owners Association, Inc.

In *Greenwald*, there was less the entity had done. Apart from the filing of articles of incorporation, “(1) no stock was ever subscribed; (2) no shareholders' meeting or election of a board of directors was held; (3) no code of regulations was ever adopted; (4) no officers were ever elected; (5) no capital stock was ever paid into the company; and (6) no business was ever transacted.” *Greenwald* at *2. Note the similarities to what Mullins failed to do as to The Landings Property Owners Association, Inc.

In *Fleischhauer v. Feltner*, 879 F.2d 1290 (6th Cir.1989), the Sixth Circuit, applying Ohio law, denied de facto corporate status to an entity called “Krypton” where the record showed two letters written on Krypton stationary, and a party’s remark that he thought he told his lawyer to incorporate Krypton. *Id.* at 1299. “These efforts fall far short of any good faith attempt to incorporate.” *Id.*

Similar to *Greenwald*, all that happened here was the filing of articles by Mullins. Merely filing those articles does not absolve Mullins of liability. “[T]he mere existence of a legal entity, or the mere fact of corporate existence, upon the filing of articles of incorporation, does not absolve from liability those who transact business for an incompleated corporation.” *Beck v. Stimmel*, 39 Ohio App. 510, 513, 177 N.E. 920 (2d Dist.1931).

The State cannot distinguish *Greenwald* on the first five facts, so focuses on the last one, whether The Landings Property Owners Association, Inc. transacted any business. But the only thing the State can come up with is that the corporation “issued checks to lawn mowing services”. Second Supplemental Memorandum, page 7. The State cites Exhibit A-5 to the Mullins Motion for Summary Judgment, which consists of bank records. The checks in those bank records that the State is referencing were written by Steve Mullins to Fast Eddy’s Ground Maintenance, and were for lawn mowing of the land then owned by Mullins, without any involvement by anyone other than Steve Mullins. (Mullins Depo. Pp. 264-275) Mullins owned the land where the Dam is located from March 14, 2005 until July 31, 2007.

That is, Steve Mullins used his defectively formed corporation to pay obligations that were properly those of he and his brother, and not of the corporation, which did not own the land. This hardly constitutes the transaction of business by The Landings Property Owners Association, Inc. Nor does the filing of a tax exemption by Cloyd Yough on behalf of a different entity. In any event, that is only one of the six critical facts in *Greenwald*.

Accordingly, as described above, because the only act Mullins undertook to complete formal incorporation of The Landings Property Owners Association, Inc. was filing articles of incorporation, and nothing else, the association is not entitled to de facto status, and the transfer of the lake and dam property should be set aside. *See, e.g., Fleischhauer*, 879 F.2d at 1299. “Although a de facto corporation under Ohio law can hold property, under the facts here, a de facto corporation could not have existed.” *Id.* Because Mullins failed to properly set up the corporation, it is not entitled to the powers granted to valid corporations under Ohio law.

D. Mullins Breached the Restrictive Covenants in the Declarations

The Second Supplemental Memorandum filed by the State curiously ignores prior arguments the State has made supporting voiding the Quit Claim Deed from Mullins to The Landings Property Owners Association, Inc. Mullins’ breach of the restrictive covenant in the Declarations is a second basis for setting aside the Quit Claim Deed. That argument is already before this Court.

In the State’s Consolidated Brief in Response to Motions for Summary Judgment, filed January 13, 2023, on page 5, the State noted that:

Developer Mullins Bros. failed to require all lot owners in two phases of its development (The Landings Phases VII and VIII) to join a certain non-profit corporation (“The Landings Common Area Association, Inc.”), as it was required to do under its Declarations for those Phases.

The State went on to say that critical facts were then unknown (this was prior to any depositions), and:

Depending upon the determination of those facts, the Court could negate Mullins Bros.’ transfer of the Dam, which would permit the Court to enforce the terms of the restrictive covenant in equity against Mullins Bros. If that were to happen, it would compel a finding that Mullins Bros. remains the owner of the Dam.

Following discovery, both Mullins and the Long Defendants moved for summary judgment. The State filed a Consolidated Brief in response to those motions, in which it repeated and elaborated on its point. On page 18 of the State's January 19, 2024 Consolidated Brief, the State said that the Court needs to determine whether Mullins' breach of the restrictive covenants operated to invalidate its "attempted conveyance" of the property upon which the Dam and Lake are located. The State then stated:

If it did, Mullins Bros.' original restrictive covenant could then be enforceable in equity, requiring Mullins Bros. to undertake the specific performance it promised in the Declarations, and making it responsible for years of ensuing dam ownership between 2005 and the present. In such an event, the Court should declare that Mullins Bros. is the owner of the Dam.

The State cited legal authority in support of its position, on page 13:

A restrictive covenant that establishes plans for the development of a parcel to make the property more attractive for residential purposes are generally enforceable unless they are contrary to public policy. *DeRosa v. Parker*, 197 Ohio App.3d 332, 2011-Ohio-6024, 967 N.E.2d 767 (7th Dist.).

Although most cases involve actions against transferees for violating a term of a restrictive covenant, courts have upheld their enforcement against a developer. In *Todd Dev. Co. v. Morgan*, 116 Ohio St.3d 461, 2008-Ohio-87, 880 N.E.2d 88, ¶ 3, a developer sought a declaratory judgment against a lot owner arguing that a restrictive covenant could not be enforced against the developer because the owner's lots had been subsequently re-platted. The trial court found that the covenants should be enforced against the developer. *Id.* at ¶ 4. The Court of Appeals upheld the validity of an initial subdivision restriction, but not of a subsequent covenant. *Id.* at ¶ 6. The Supreme Court of Ohio reinstated the trial court's judgment in full, holding that it had been correct in granting the lot owner's motion for summary judgment against the developer. *Id.* at ¶ 24.

The State further argued, at page 18 of the Consolidated Brief:

The breach of a restrictive covenant may operate to negate a transfer. An action to enforce a grantor's covenant that imposes restrictions on a grantee's subsequent use of the property is equitable

in nature, and it is governed by the principles applicable to equity actions. *See, e.g., Stines v. Dorman*, 25 Ohio St. 580 (1874); *McGuire v. Caskey*, 62 Ohio St. 419, 57 N.E. 53 (1900); *Brown v. Huber*, 80 Ohio St. 183, 88 N.E. 322 (1909). The right to equitable relief depends upon the following considerations:

First. A precedent agreement, in some form, by which a restriction is imposed upon the lot owned or held by defendant for the benefit of the lot owned or held by the plaintiff. Second. In case the agreement is made by the defendant's predecessor in title, notice in some form to the defendant of the fact and nature of the agreement, either from the language of the title deed under which he holds, or otherwise.

Brown at 183.

The Court needs to determine whether Mullins Bros. materially breached the express restrictive covenants in the Declarations by establishing “The Landings Property Owners Association, Inc.,” rather than the “Landings Common Area Association, Inc.” Even though the mistake was unintentional, the Court needs to determine whether this breach of the restrictive covenants operated to invalidate Mullins Bros.’ attempted conveyance of the property upon which the Dam and Lake are located. If it did, Mullins Bros.’ original restrictive covenant could then be enforceable in equity, requiring Mullins Bros. to undertake the specific performance it promised in the Declarations, and making it responsible for years of ensuing dam ownership between 2005 and the present. In such an event, the Court should declare that Mullins Bros. is the owner of the Dam.

As the State has previously argued, even if Mullins did enough to make The Landings Property Owners Association, Inc. a de facto corporation, and even if The Landings Property Owners Association, Inc. is not the alter ego of Mullins, this Court can still set aside the Quit Claim Deed from Mullins to The Landings Property Owners Association, Inc. because of Mullins’ material breach of the restrictive covenants in the Declarations it prepared and filed.

IV. CONCLUSION

For all of the reasons set forth above, this Court should negate the transfer of real estate by Mullins to its defectively formed corporation, The Landings Property Owners Association, Inc.;

declare that Mullins is the owner of the Dam; and declare that Mullins is responsible for the maintenance and repair of the Dam.

Respectfully submitted,

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